Applying the Good-Better-Best Pricing strategy to Reliance Jio

MKT -6057 | The Psychology of pricing | Individual Assignment

Introduction

In the competitive Indian telecommunications market, Reliance Jio faces a significant challenge. Rising tariffs and strict monthly data bundles have led to growing customer dissatisfaction. At the same time, there is pressure to increase Average Revenue Per User (ARPU). Mohammed (2018) suggests that the Good-Better-Best (G-B-B) pricing model can help companies attract new customers, retain current ones, and increase revenue without relying on universal discounts. This report explores how to apply Mohammed's (2018) G-B-B model to Reliance Jio. It proposes a new pricing strategy that addresses real consumer issues while maximizing revenue across different income segments in India.

Issue Identification: Jio's Pricing Problem

Jio currently uses a "one-size-fits-all" bundled recharge model, combining voice, SMS, and data into mandatory monthly packs. This approach creates two main issues. First, price-sensitive customers needing only basic connectivity must pay for services they do not use, making Jio seem expensive compared to competitors like BSNL. Second, high-spending customers lack a real upgrade path that rewards their loyalty with noticeably better service. The biggest complaint from consumers is the monthly data cap. Those who run out of data mid-month must choose between paying for full-price top-ups or experiencing slower speeds, with no flexible intermediate options available. Mohammed (2018) identifies this situation as ideal for G-B-B, where a single-price model leaves both ends of the market unaddressed.

Proposed G-B-B Strategy for Jio

Good: The Flexible Daily-Cap Plan

The "Good" tier would replace the mandatory monthly bundle for entry-level customers with a daily data cap model, such as 1 GB per day. This plan would be priced approximately 20-25% lower than Jio's current standard plan, in line with Mohammed's (2018) advice that Good should not be priced more than 25% below Better. Customers who run out of daily data can buy low-cost daily top-up add-ons instead of being forced into a full monthly recharge. This change directly addresses the most common consumer frustration. The boundaries that prevent Better customers from downgrading include standard network priority and 4G-only access instead of 5G. These limitations make downgrading unappealing for heavy users while truly serving the price-sensitive group that Mohammed (2018) describes as "dormant customers for whom the existing product line is out of reach."

Better: The Core 5G Bundle

The "Better" tier keeps Jio's current standard plan, which offers unlimited 5G data with a fair-usage policy, bundled voice services, and access to JioCinema and JioTV. By placing this plan between a simplified Good tier and a premium Best tier, Jio makes use of the Goldilocks effect that Mohammed (2018) describes, where customers tend to choose the middle option. This changes the consumer's mindset from "Is Jio too expensive compared to competitors?" to "Which Jio plan fits my lifestyle?" This shift is similar to what Allstate achieved with its Your Choice Auto program (Mohammed, 2018), turning a price comparison into a discussion about value.

Best: The Premium 'Jio Platinum' Plan

The "Best" tier, named "Jio Platinum," would be priced 40-50% higher than the Better plan, staying within the limits suggested by Mohammed (2018). It would include attractive, low-cost features like priority network access for faster speeds during peak times, a dedicated support line, bundled premium OTT subscriptions, and a data rollover benefit. Mohammed (2018) points out that managers often underestimate customers' willingness to pay for premium levels, noting that up to 40% of sales in some sectors go to the best option. For Jio, this tier can turn its current brand weakness—poor service quality perception following price increases—into a monetized premium feature. This change would also create a positive effect on overall brand perception, like how Roca Patrón improved the wider Patrón line (Mohammed, 2018).

Strategic Benefits and Implementation

This G-B-B structure provides advantages across all three of Mohammed's (2018) strategic areas. Offensively, the Best tier can increase ARPU without raising tariffs overall, while daily add-ons in the Good tier can create additional revenue. Defensively, the Good tier can keep price-sensitive customers from switching to BSNL or Vodafone Idea within Jio's ecosystem. Behaviourally, this three-tier structure encourages customers to think about value rather than just a binary buy-or-churn choice. The main risk in implementing this strategy is cannibalization. Since Indian consumers have widely accepted 5G as a must-have, limiting 5G access serves as a strong barrier that makes downgrading unattractive for most current subscribers.

Conclusion

Reliance Jio's existing pricing model is not well-equipped to serve India's varied consumer base. A G-B-B framework, featuring a flexible daily-cap Good plan, a strategically positioned Better bundle, and a premium Platinum Best tier, could help Jio increase ARPU, reduce churn, and improve its brand perception at the same time. As Mohammed (2018) illustrates,

G-B-B's strength lies in changing a price discussion into a value discussion, a shift that is both urgently needed and strategically beneficial for Jio.

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